

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.

Complainant,

v.

HMM Company Limited,

Respondent.

Docket No. 22-20

**COMPLAINANT'S RESPONSE IN OPPOSITION TO RESPONDENT'S
MOTION FOR ATTORNEY'S FEES**

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February 14, 2024

Before the
FEDERAL MARITIME COMMISSION

Washington, DC 20573

Docket No. 22-20

MSRF Inc., Complainant v. HMM Company Limited, Respondent

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S
MOTION FOR ATTORNEY’S FEES**

Complainant MSRF Inc. (“MSRF”), by and through its attorneys, and for its Response in Opposition to Respondent HMM Company Limited’s (“HMM”) Motion for Attorney’s Fees (the “Motion”) states as follows:

INTRODUCTION

On January 25, 2024, HMM filed the instant Motion alleging that MSRF’s claims were unreasonable, meritless and/or frivolous because (1) MSRF copied its complaint from another complaint, (2) MSRF’s claim were proven to be factually and legally meritless, and (3) MSRF knew its claims were false. HMM’s Motion fails because HMM has failed to prove, by a preponderance of the evidence, that it is eligible and entitled to a fee award. First, HMM offers no support in fact or law to substantiate its allegations. Rather, HMM entirely relies on circular reasoning to support its allegations. For example, HMM believes that MSRF’s Complaint was frivolous because MSRF used another complaint as a template when drafting its Complaint. Yet, HMM cites to no caselaw or administrative decision indicating that a complaint is frivolous simply because it is copied from another complaint. And second, finding in favor of HMM’s unsupported Motion would deter the filing of claims regarding potential violations of the Shipping Act because it will encourage the improper filing of baseless motions for attorney’s fees by respondents when

a complaint is denied—even when an initial decision does not find that a complainant’s claims were meritless or frivolous.

FACTS

On August 19, 2022, MSRF commenced this proceeding by filing a complaint (the “Complaint” or “Compl.”) against HMM, alleging that HMM violated the Shipping Act of 1984, as amended (the “Shipping Act”).¹ Compl. at ¶¶ 5–7; Brief at pp. 3–4. In particular, MSRF alleged that HMM’s refusal to provide MSRF with more than approximately 9 of the promised 25 forty equivalent units (“FEUs”) of allotted space, as agreed upon by the Parties’ service contract, dated May 1, 2021 to April 30, 2022, constituted a violation of Section 41102(c), 41104(a)(2) and 41104(a)(10) of the Shipping Act. *See* Compl. at ¶¶ 8–11. MSRF further explained that HMM’s refusal to provide MSRF with the agreed upon allotment of space (1) constituted an unjust and unreasonable regulation and practice relating to storing property (Section 41102(c)); (2) was not in accordance with the with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract (Section 41102(a)(2)); and (3) constituted an unreasonable refusal to deal or negotiate, including with respect to vessel space accommodations provided by an ocean carrier (Section 41102(a)(10)). *See* Brief at pp. 3–4; Reply Brief at pp. 3–8.

I. The Service Contract

MSRF and HMM entered into a service contract effective May 1, 2021 (the “Service Contract”). The duration of the Service Contract was from May 1, 2021 through April 30, 2022. CPFF at p. 1–3. The Service Contract was amended on fourteen occasions. *Id.* at p. 4. The Service Contract provided for a minimum quantity commitment of 25 FEUs from Asia to the U.S. during the initial contract period of May 1, 2021, through April 30, 2022, and identified the prices to be

¹ MSRF’s Motion for Summary Decision accepted as MSRF’s Initial Brief is abbreviated as “Brief,” MSRF’s proposed findings of fact (“CPFF”), and MSRF’s Reply Brief is abbreviated as “Reply Brief.”

charged. *Id.* at 5. By mid-April 2022—nearing the end of the initial contracting period—only 10.125 FEUs of the agreed upon 25 FEUs had been carried by HMM, constituting nine bookings made by MSRF. *See* Nov. 12, 2023 Initial Decision (“ID”) at p. 13. MSRF had no other alternative, as further explained directly below, but to extend the Service Contract for ten weeks pursuant to Amendments 12 and 13. *See* CPFF at p. 1–3. HMM carried an additional 37.875 FEUs during the extension of the Service Contract—*after* the initial contract period had expired. *See* ID at p. 15. In its Complaint, Brief and Reply Brief, MSRF alleged that HMM violated the Shipping Act by refusing to provide MSRF with the agreed upon space from May 2021 to April 2022—the initial contracting period. *See* Compl. at ¶¶ 8–11; Brief at pp. 1–3; Reply Brief at p. 2.

II. The Exploitation of Shipper Customers By Global Ocean Common Carriers during the COVID-19 Pandemic.

Since the beginning of the COVID-19 pandemic, global ocean carriers, including HMM, unjustly and unreasonably exploited customers by refusing to provide more than a fraction of the cargo capacity that they agreed to provide pursuant to the service contracts they entered into with shippers—vastly increasing their profitability at the expense of shippers. *See generally* MSRF’s Compl. These violations and the facts surrounding them were almost near identical: (1) shipper secured an advance service contract with a global ocean carrier, (2) shipper requested that the global ocean carrier provide them with the agreed upon space of cargo; (3) global ocean carrier refused and claimed they had no space to provide; (4) global ocean carrier then re-sold the capacity allotted to the shipper under the advance service contract to other shippers on the spot market at substantially higher rates than those to which they agreed in the service contract; and (5) shipper was forced to make alternate transportation arrangements with other common carriers at substantially higher spot market prices or forgo shipping their cargo altogether. *See* MSRF’s Compl. 2–3, 5–7.

Given the similarities of these violations and the facts surrounding them, MSRF used the *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd., et al.*, FMC Docket 21-05 complaint (the “MCS Industries Complaint”) as a template when drafting its Complaint against HMM. Regardless of this fact, MSRF’s central theme and allegations remained true: (1) there was a service contract between MSRF and HMM for a minimum quantity commitment of 25 FEUs from Asia to the U.S. for the period of May 1, 2021, through April 30, 2022; (2) HMM refused to provide MSRF with the agreed upon space during the initial contract period; and (3) MSRF was forced to make alternative transportation arrangements with other common carriers at substantially higher spot market prices or forgo shipping its cargo altogether.

III. MSRF’s Damages Summary.

On February 17, 2023, MSRF initially produced to HMM its damages spreadsheet alleging damages in the amount of \$1,770,303.63. *See* Motion at p. 7. Thereafter, MSRF’s amended its damages spreadsheet. The amended spreadsheet alleged damages in the amount of \$228,171.52. *See* CPFF at 12–18. MSRF explained its basis for its damages calculation in its Brief, CPFF, and Reply Brief. In fact, MSRF included an entire section explaining the basis for its damages calculation in its Reply Brief. *See* Reply Brief at 9–10.

LEGAL STANDARD

Section 41305(e) of Title 46 provides that the Commission may award the prevailing party reasonable attorney fees. *See also* 46 C.F.R. § 502.254(a). The Commission conducts a two-step inquiry in determining whether to award fees. *Logfret, Inc. v. Kirsha, B.V.*, 2 F.M.C.2d 110, 113, 2020 WL 13512913, at *3 (FMC 2020). First, the Commission considers whether a petitioner is eligible for fees, that is, whether it is a “prevailing party.” *Id.* at *3–4. If the answer is yes, the

Commission considers whether it should award fees to the petitioner. *Id.*; *Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 2017 WL 4924883, at *9 (FMC Oct. 25, 2017).

The petitioner bears the burden of proving that it is eligible for and entitled to a fee award, documenting the appropriate hours, and justifying the reasonableness of the rates. *Logfret*, 2020 WL 13512913 at *3; see 46 C.F.R. §502.254(d). The standard of proof is preponderance of the evidence. *Logfret*, 2020 WL 13512913 at *3. There is no presumption for or against a fee award, and whether the petitioner is a complainant or respondent is not a factor. *Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees(Final Rule)*, 81 Fed. Reg. 10508 (Mar. 1, 2016).

As detailed further below, HMM has not met its burden of proving that it is eligible for and entitled to attorney's fees.

ARGUMENT

I. HMM is not eligible to receive attorney's fees because it has failed to establish by a preponderance of the evidence that it is the prevailing party.

A party is eligible to receive attorney's fees if it is the prevailing party. 46 C.F.R. § 502.254(a). HMM may be the prevailing party in this proceeding because the presiding officer decided against complainant's claims. *FMC Statement on Attorney Fees*, Docket No. 21-14 at 2-3. However, HMM may not be the prevailing party because MSRF's complaint was not dismissed with prejudice. This possibility arises from the FMC's Statement on Attorney Fees where the Commission stated that "a respondent prevails if the presiding officer grants the respondent's motion to dismiss with prejudice." *Id.* at 3.

In the Federal Register notice adopting 46 CFR § 502.254, the Commission stated that it "will apply the standards used by federal courts in determining whether a party has prevailed in complaint proceedings under the Shipping Act." 81 Fed. Reg. at 10512. "[T]he touchstone of the

prevailing party inquiry” is “the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.” 81 Fed. Reg. at 10512 citing *Tex. State Teachers Ass'n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989).

The Commission’s decisions on a respondent’s request for attorney fees indicate that a respondent must achieve something more than convincing the presiding officer to rule against complaint’s claims. A respondent would qualify as a prevailing party where the presiding officer issues a decision on the merits of the complaint and dismisses the complainant’s claims with prejudice, or when the presiding officer grants the complainant’s request for voluntary dismissal with prejudice. *See, e.g., Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 WL 5110081, at *11 (FMC Sept. 14, 2016) (finding that the dismissal of all the complainant's claims, with prejudice ... may be seen as a “material alteration of the legal relationship of the parties” and a success on the merits for Respondent); *Logfret*, 2020 WL 13512913 at *4 (finding that respondents were the prevailing parties because their motion to dismiss was successful and the amended complaint was dismissed with prejudice). Particularly, proceedings dismissed by the Commission with prejudice materially alter the legal relationship of the parties because any action so dismissed cannot be brought again. *See also Baltic Auto Shipping, Inc.*, 2017 WL 4924883 at *9.

Here, HMM never filed a motion for summary decision or a motion to dismiss MSRF’s Complaint, and thus, the Complaint was never dismissed with or without prejudice. Rather, in her Initial Decision, the Presiding Officer denied MSRF’s claims because they lacked support. *See ID* at p. 32. MSRF was still able to file exceptions to the decision, but decided not to do so. In other words, there was no material alteration of the legal relationship of the Parties because the Presiding

Officer did not dismiss the Complaint with or without prejudice. And the Commission has only found that a respondent is the prevailing party when the complaint is dismissed with prejudice.

Therefore, the Presiding Officer should dismiss the Motion because MSRF's Complaint was not dismissed with prejudice, and thus, HMM is not eligible to receive attorney's fees because it is not the prevailing party.

II. HMM is not entitled to an award of attorney's fees because such an award is not consistent with the purposes of the Shipping Act.

MSRF's claims against HMM were legitimate and meritorious, and imposing attorney fee liability on MSRF would have a chilling effect on the filing of credible claims.

The "primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes." See *FMC Statement on Attorney Fees*, Docket No. 21-14 at *3; *Edaf Antillas*, 2016 WL 5110081 at *5. Thus, when determining whether to award attorney fees, the Commission is informed by the principle that "parties should be encouraged to litigate meritorious claims and defenses," and attorney fee liability should not be imposed in a way that would chill the filing of credible claims and defenses. See *FMC Statement on Attorney Fees*, Docket No. 21-14 at *3. Complainants who raise non-frivolous claims in good faith, who litigate zealously but within the rules and for proper purposes, and who comply with Commission orders are at little risk of attorney fee liability if they are unsuccessful, absent unusual circumstances. *FMC Statement on Attorney Fees*, Docket No. 21-14 at *5-6.

Importantly, since the 2014 changes to the attorney fee statute, only once has the Commission required an unsuccessful shipper-complainant to pay an eligible respondent's attorney fees. *FMC Statement on Attorney Fees*, Docket No. 21-14 at *5; *Edaf Antillas*, 2016 WL

5110081 at *5. In *Edaf Antillas*, the complainant knowingly disregarded and failed to respond to the ALJ's orders. *Edaf Antillas*, 2016 WL 5110081 at *5. The Commission awarded the respondent attorney fees and found that "detering complainants from failing to prosecute their claims by awarding respondents attorney fees furthers the purpose of the Shipping Act." *Id.* Specifically, the complainant in *Edaf Antillas* failed to respond to several attempts by respondents to move the case along, and ignored the ALJ's order to file papers and to show cause. *Id.* at *11. Ultimately, as Commissioner Doyle put it in his concurrence, "the complainant's representative led the respondent through nearly 12 months of legal proceedings before walking away from the case without notice or communication." *Id.*

Here, MSRF brought its Complaint against HMM in good faith, litigated its claims zealously within the FMC rules and procedures, and had a proper purpose—to seek remedy for HMM's breach of the Service Contract. Additionally, MSRF complied with all of the Commissions orders, including correcting its filings when the Presiding Officer required MSRF to do so. *See MSRF Inc. v. HMM Company Limited*, Docket No. 22-20, Document No. 30, 35–36 (2022) (May 16, 2023 Order to Correct Filings). MSRF's allegations were legitimate and constituted potential violations of the Shipping Act. As part of its Complaint and briefing, MSRF alleged that HMM's flat refusal to abide by the terms of the Service Contract during the initial Service Contract period constituted a violation of the Shipping Act. *See* Compl. at ¶¶ 8–11; Brief at pp. 1–3; Reply Brief at p. 2. MSRF was specific, cited evidence to support its claims, and fully explained how HMM's refusal to provide MSRF with the space it necessitated during the initial period of the Service Contract constituted violations of the Shipping Act. *See* Compl. at ¶¶ 8–11; Brief at pp. 3–4; Reply Brief at p. 3–8.

Further, the Presiding Officer did not find that MSRF's claims were meritless or frivolous. Rather, in her Initial Decision, the Presiding Officer simply found that MSRF's claims were not successful. *See generally* ID. The Presiding Officer further found that MSRF failed to meet its burden of establishing that HMM engaged in unjust or unreasonable conduct; provided service in the liner trade not in accordance with the rates, charges, classifications, rules and practices contained in a tariff or a service contract; refused to deal or negotiate; or gave under or unreasonable preference or advantage to another. ID at p. 3. Simply because the Presiding Officer found that MSRF's claims were unsuccessful and that MSRF failed to meet its burden, does not make MSRF's claims meritless or frivolous.

This case is unlike *Edaf Antillas* where the complainant filed a complaint with the Commission, and 12-months later—after failing to file its proposed findings of fact, brief, and appendix, and failing to respond to the ALJ's order to show cause for why its complaint should not be dismissed for failure to prosecute—decided to walk away from the case without notifying any of the parties, including the Commission. *Edaf Antillas*, 2016 WL 5110081 at *2. Here, MSRF was fully engaged in the underlying proceedings; complied with the Presiding Officer's briefing schedule by filing its Brief, CPFF, and appendix; met all deadlines; made corrections to its filing when it was asked to do so, and constantly communicated with the Commission and HMM's attorneys when it was required to do so.

HMM believes that because MSRF used the MCS Industries Complaint as a template, MSRF's claims must have been meritless, illegitimate and frivolous. *See* Motion at pp. 5–6, 17 n.13. But HMM fails to explain how using a complaint as a template makes MSRF's claims meritless. In fact, HMM does not provide a single case, administrative decision, rule or statute supporting this contention. In other words, HMM uses circular reasoning to back up its argument.

As the only backup to its circular argument, HMM argues that MSRF's claims "were proven to be factually and legal[ly] meritless." Motion at p. 15. Again, HMM fails to include a single citation in support of this statement. HMM's central theme is to allege unreasonableness and frivolousness but offer no case or administrative decision as support. Finding in favor of HMM, thus, would negatively affect the filing of credible claims because respondents would use this decision as support to file their baseless motions for attorney's fees, which would, in turn, have a negative impact on the filing of potential violations of the Shipping Act.

The Presiding Officer should, therefore, deny the Motion because HMM has failed to meet its burden by a preponderance of the evidence that such an award would be consistent with the purpose of the Shipping Act. Specifically, MSRF's claims against HMM were legitimate and meritorious, and imposing attorney fee liability on MSRF would have a chilling effect on the filing of credible claims.

The Commission also weighs several factors when addressing whether a party is entitled to attorney fees: (1) frivolousness, (2) objective unreasonableness (in the factual and legal components of a case), (3) motivation, (4) litigation misconduct, (5) deterrence, and (5) compensation. *FMC Statement on Attorney Fees*, Docket No. 21-14 at *4. This list of factors is nonexclusive, however, and the Commission may consider additional factors in a particular case. *Id.* MSRF briefly addresses each factor below.

a. MSRF's claims were not objectively unreasonable or frivolous.

Objectively unreasonable claims mean claims that are "clearly without merit or otherwise patently devoid of a legal or factual basis." *Logfret*, 2020 WL 13512913 at *4 . The mere fact that a respondent has prevailed does not render a complainant's claims objectively unreasonable, otherwise prevailing respondents would be per se entitled to attorney fees, an approach the

Commission has rejected. *Id.* at *5–6 (distinguishing insufficient allegations under pleading standards from objectively unreasonable allegations); see *Baltic Auto Shipping, Inc.*, 2017 WL 4924883 at *11 (finding that the fact that a claim was not successful does not automatically mean that it was objectively unreasonable). If a non-prevailing party’s claims or defenses are based on plausible interpretations of the law or colorable arguments, this factor will weigh against awarding fees to the prevailing party. *Id.* at *12.

Here, MSRF’s claims were based on plausible interpretations of the law and colorable arguments. MSRF strongly believes that HMM’s failure to abide by the terms of the Service Contract during the initial contracting period should constitute (1) unjust or unreasonable conduct; (2) a refusal to deal or negotiate; or (3) conduct not in accordance with practices in a service contract. That HMM later provided additional space pursuant to Amendment 13, does not erase the harm that MSRF suffered during the initial period of the Service Contract.

In its Motion, HMM alleges that because MSRF’s claims were found to be unsuccessful and because MSRF copied its Complaint from the MCS Industries Complaint, MSRF’s claims are frivolous and objectively unreasonable. Motion at pp. 16–20. To further strengthen this bare-bones argument, HMM adds to its pile of unsupported contentions, by alleging that MSRF knew the allegations in the Complaint were false. *Id.* at 17. Instead of offering any evidence to prove MSRF knew the allegations in the Complaint were false, HMM offers more circular reasoning as support. HMM claims that MSRF knew that the contentions in the Complaint were false because MSRF admitted that it obtained a benefit from the extension of the Service Contract. See Motion at p. 17. Again, MSRF made it abundantly clear throughout these proceedings that it was pursuing its claims against HMM for its failure to abide by the terms of the Service Contract *during the initial contracting period*, not after the contract was amended. Simply because the extension to the

Service Contract benefited MSRF, does not mean that HMM did not breach the Service Contract during the initial contracting period. There is not an ounce of support for HMM's claims that MSRF knew that the allegations in the Complaint were false.

The Presiding Officer should therefore dismiss the Motion because HMM has failed to show by a preponderance of the evidence that MSRF's claims were *clearly* without merit or *patently* devoid of any factual or legal basis.

b. MSRF was not improperly motivated to file its claims against HMM.

A party is improperly motivated where it asserts claims not because of their merit, but because the party “seeks to knowingly gamble on an unreasonable legal theory in order to achieve a secondary gain,” such as the leveraging of a settlement. *Logfret*, 2020 WL 13512913 at *7. In *Logfret*, the Commission found that although it was possible that the complainant had an improper motive, there was insufficient evidence to determine complainant's motivation. *Id.*

MSRF brought its claims in a good faith attempt to redress, under US federal law and jurisprudence, significant injury inflicted upon it by HMM. MSRF was, and remains, protective of its business interests and willing to guard these interests through enforcement of all potentially applicable legal remedies. MSRF's legal theories were legitimate and were not brought to achieve secondary gains. To support this factor, HMM argues that MSRF's claims were improperly motivated because “they were simply copied from the MCS Complaint,” and because MSRF amended its damages spreadsheet. *See* Motion at 20–21. HMM concludes its analysis of this factor by stating that “it is obvious that MSRF simply copied allegations it knew were false hoping HMM would settle, the very definition of improper motivation.” *Id.* Again, HMM shows no support in fact or legal theory to support this argument. Using another complaint as a template is not unlawful

or improper. Amending a damages spreadsheet is not unlawful or improper. HMM fails to cite to any case, administrative decision, or statute/rule that states otherwise.

The Presiding Officer should therefore dismiss the Motion because HMM has failed to show by a preponderance of the evidence that MSRF's claims were improperly motivated.

c. MSRF did not engage in litigation misconduct.

Commission rules prohibit parties from filing pleadings, discovery requests, motions, or other documents for improper purposes, such as harassing others or causing unnecessary delay. 46 C.F.R. § 502.6(a). *FMC Statement on Attorney Fees*, Docket No. 21-14 at *4. Knowing and repeated disregard of ALJ or Commission orders by a non-prevailing party, for instance, may give rise to attorney fee liability. *Id.* In *Edaf Antillas*, for example, the Commission awarded fees because the complainant “failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ’s orders on numerous occasions, abandoned its claim, forced multiple [r]espondents to expend significant resources of both time and money in their defense and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the Respondents,” despite “[a]mple opportunity to withdraw its claim.” *Id.*

Unlike in *Edaf Antillas*, where a lack of responsiveness was the main impetus for the extra time and expense generated for respondents and Commission alike, in *Baltic Auto Shipping*, the Commission found that the complainant vigorously litigated its claims. *Baltic Auto Shipping, Inc.*, 2017 WL 4924883 at *10. The Commission, thus, determined that an award of attorney’s fees was not warranted. *Id.*

Like in *Baltic Auto Shipping*, MSRF followed Commission procedures and rules, vigorously litigated its legitimate claims throughout the entirety of these proceedings, never failed to respond to the Commission or opposing counsel when it was required to do so, and strictly

followed the Presiding Officer's orders and briefing schedule. HMM brings more unsupported circular reasoning into its analysis of this factor. It claims that because MSRF withdrew its initial damages summary, submitted a filing instead of a proper brief, and filed a brief that required HMM to file a motion to strike, MSRF engaged in litigation misconduct. Motion at pp. 21–22. MSRF amended its damages spreadsheet because it recognized certain charges needed to be adjusted. Once it found these errors, MSRF's counsel immediately relayed such information to HMM's counsel and amended its damages spreadsheet—how this is misconduct is hard to fathom. MSRF also erroneously titled its Opening Brief as a Motion for Summary Decision, just like HMM erroneously titled the instant papers as a motion rather than a petition as the statute requires. *See* 46 CFR § 502.254(c). That such errors should constitute misconduct is outrageous. In fact, the Presiding Officer acknowledged the error MSRF made, but allowed MSRF's Motion for Summary Decision as its Opening Brief. *See* Docket No. 22-20 (April 24, 2023 Order). HMM also has a problem with MSRF's Reply Brief, but the Presiding Officer did not, and allowed it in full. *See* Docket No. 22-20 (June 12, 2023 Order). MSRF did not force HMM to file a Motion to Strike MSRF's Reply Brief. It is difficult to understand how filing a motion to strike, which was denied in full with prejudice, constitutes misconduct on MSRF's part.

The Presiding Officer should therefore dismiss HMM's Motion because HMM has failed to show by a preponderance of the evidence that MSRF engaged in litigation misconduct.

d. MSRF did not engage in conduct that the Commission should seek to deter.

The Commission may also award attorney fees to deter conduct, such as failing to respond in Commission proceedings or repeatedly engaging in prohibited acts. *FMC Statement on Attorney Fees*, Docket No. 21-14 at *5. Considerations of deterrence may weigh against awarding fees. *Id.* The “purposes of the Shipping Act are met when complainants are able to raise potential violations,

even under unusual or unique circumstances, without the chilling impact of having to pay [r]espondents' attorney fees." *Id.*

Here, MSRF's claims were not frivolous or meritless. As stated above, MSRF raised potential violations of Section 41102(c), 41104(a)(2) and 41104(a)(10) of the Shipping Act. MSRF claims were based on plausible interpretations of the law and genuine arguments. Finding in favor of HMM would have a detrimental effect on complainants raising potential violations of the Shipping Act. It would prevent injured parties from filing complaints with the Commission due to the concern that attorneys' fees may be awarded against them even if their claims are based on plausible interpretations of the law and colorable arguments.

The Presiding Officer should therefore dismiss the Motion because HMM has failed to show by a preponderance of the evidence that MSRF engaged in conduct that the Commission should seek to deter.

f. HMM should not be compensated.

The Commission has found that compensation is a factor in certain cases. *FMC Statement on Attorney Fees*, Docket No. 21-14 at *5. Because every prevailing party could argue it would not be made whole without an award of attorney fees, placing too much emphasis on compensation would violate the principle that there is no presumption in favor of awarding fees. *Id.*

HMM should not be compensated because it has failed to show by a preponderance of the evidence that MSRF's claims were meritless, frivolous or unreasonable and such an award would not be consistent with the purposes of the Shipping Act. MSRF zealously litigated its complaint against HMM and made colorable arguments, in which it argued that HMM's breach of the Service Contract during the initial contracting period constituted a violation of the Shipping Act and that

such conduct should be admonished. MSRF brought its complaint in good faith. HMM should not be rewarded for having to defend claims that had merit and were legitimate.

III. An Award of Fees Would Not Comport with Federal Case Law.

HMM claims that an award of attorney's fees would not be an outlier in federal caselaw, but all caselaw that HMM cites as support is distinguishable from the facts of this case. Particularly, all of the federal caselaw that HMM cites involves copyright issues.

In *Spanski Enters. v. Telewizja Polska*, the D.C. Circuit affirmed a lower court's decision awarding attorney's fees. 2017 WL 598465, at *2 (D.D.C. Feb. 14, 2017), *aff'd*, 883 F.3d 904 (D.C. Cir. 2018). The district court awarded plaintiff's attorney's fees "given the defendant's history of infringing plaintiff's copyright ; defendant's willful infringement and the need for deterrence; defendant's egregious subsequent 'intentional manipulation' of evidence for the purposes of this litigation; ... and the fact that the court lack[ed] information necessary to determine actual damages and that information ha[d] in part been obfuscated by defendant's conduct..." *Id.* Additionally, in *Maljack Prods., Inc. v. GoodTimes Home Video Corp.*, the Ninth Circuit affirmed the district court's decision awarding attorney's fees. 81 F.3d 881, 891 (9th Cir. 1996). The district court's fee order stated that the evidence supported the "inference" that plaintiff's copyright lawsuit was instituted to secure a competitive advantage in marketing its videocassette. *Id.* at 889. In *Bridgeport Music, Inc. v. Dimension Films*, the Sixth Circuit affirmed the district court's decision awarding attorney's fees. 410 F.3d 792, 809 (6th Cir. 2005) The deciding factor in granting attorney's fees was "the manner in which the plaintiff litigated this action." *Id.* at 808. The district court reasoned:

"The initial complaint in this action is so voluminous that, with exhibits, it is almost 1,000 pages long and takes days to read in its entirety. It is replete with diatribes against the music industry, but lacks concrete facts directed at specific defendants. Almost all of the

800 or so defendants in the initial complaint (representing what appeared to be almost the entirety of entities involved in making urban music) were lumped together in broad categories and descriptions of activities.” *Id.* at 808–09.

“The plaintiffs repeatedly taxed the patience of the Court, from narrowing the margins on their memoranda to circumvent page limits...” *Id.*

None of these decisions are remotely relevant in fact and law to the underlying proceeding. As a result, the Presiding Officer should dismiss the Motion because federal case law does not support an award of attorney’s fees.

CONCLUSION

For the foregoing reasons, MSRF respectfully requests that the Commission deny HMM Company Limited’s Motion for Attorney’s Fees.

Dated: February 14, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on February 14, 2024, a true and correct copy of the foregoing Complainant's Response in Opposition to Respondent's Motion for Attorney's Fees was served via electronic mail on:

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